

International Organizations

Perspectives on Governance
in the Twenty-First Century

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emerged from the war as the dominant state in terms of military and economic capabilities. The U.S. was in a position, politically and economically, to shape world order and to fashion a system in which it and other states could mutually benefit. The U.S. institutionalized liberal rules and norms in international politics through the creation of international organizations and a capitalist international economic order.

Liberalism is rooted in an intellectual tradition that is as rich and respected as realism. In the following section, we examine the liberal philosophical tradition. Then we outline the assumptions of liberalism as a theoretical approach to provide a different perspective regarding the nature of international organizations in a liberal world. Like realism, liberalism has several variations that have both political and economic influences. And, like realism, liberalism generates very compelling explanations about the dynamics of world politics.

PHILOSOPHIC ROOTS OF LIBERALISM

Hugo Grotius (1583–1645) is considered to be the father of international law. In *The Law of Prize and Booty* and *The Law of War and Peace*, Grotius identifies international norms and rules that states have agreed upon, either explicitly through treaties or implicitly through practice. He argues that states need to abide by their agreements in order to foster cooperative international relations. For Grotius, international relations includes economic as well as political transactions. The rules that emerged to govern those transactions shaped the way states interact with one another. Grotius' contribution to liberal international relations theory is his acknowledgment of the cooperation that occurs among states in an anarchical environment. Grotius also articulates how formal and informal rules governing international relations are in the self-interest of states.

John Locke's (1632–1704) *Second Treatise on Government* is considered the seminal work of liberal political thought and has had a significant, albeit indirect, influence on liberal international relations theory. John Locke focuses on the kind of government that is conducive to the happiness and well-being of its citizens. For Locke, individuals and individual happiness are the keys to a productive society. Human beings possess rights, rights that exist in nature and belong to individuals by virtue of their humanity. These natural rights include the right to life, liberty, and the pursuit of private property. They also include the right to political equality, equality under the law, and self-government.

Locke emphasizes the importance and value of the individual to society and prescribes a very limited role for the government. In the state of nature, human beings are essentially cooperative; however, the condition of scarcity compels individuals to act in a self-interested manner. In order to create a society, a government must protect private property and arbitrate disputes between individuals. With private property rights protected and legal mechanisms for settling disputes in place, individuals are free to realize their rights and potential to the fullest. For Locke, the best government is the government that "governs least." The best way to ensure good government is to allow individuals to participate in politics through voting and holding public office. Locke's more important contributions to liberal international

relations theory are his view that human beings are essentially cooperative and the idea of limited government composed of, and influenced by, those governed.

Similarly, Adam Smith's (1723–1790) *The Wealth of Nations* addresses the essence of human beings and the role of government in society. According to Smith, human beings have a natural inclination to "truck, barter and exchange one thing for another." Human beings are essentially economic creatures driven by a quest to acquire and dispose of property. Society is born out of economic exchange between individuals. Smith argues that self-interest motivates individuals to action, yet this selfish behavior can have a surprising result—social harmony. Unlike Hobbes, who argues that selfish behavior makes life particularly nasty, Smith argues that the "market" can harness the selfish impulses of individuals and propel a society to progressively higher levels of development. How does the market mechanism do this? According to Smith, the market is governed as if by an "invisible hand" that regulates the behavior of individuals in a society. Self-interested individuals interacting with other self-interested individuals will create competition to generate the goods and services a society needs and wants, at a price it is willing to pay (Heilbroner 1989, 55). Goods and services are not produced out of kindness and goodwill. They are provided out of the self-interest of the producer. Competition ensures that no one provider will artificially raise prices to take advantage of consumers, because a competitor will offer the same good or service at a fair price. For Smith, this self-regulating market promotes the welfare of individuals and societies.

Smith recognizes that human nature is complex and that individuals could be driven by other passions, such as racism, nationalism, and religious devotion. Smith thought that these other passions could be held in check if the instinct for economic self-interest was developed. In other words, economic self-interest not only promoted social harmony but would also override other human passions that give rise to violent human conflict.

The writings of Adam Smith support Locke's idea of a limited government. The idea of society's being self-regulating because of the market's invisible hand suggests a limited role of the state in the market. Borrowing the term *laissez-faire* from the eighteenth-century French physiocrats, Smith argues that the government should not interfere in the market, lest it disrupt the market's natural tendencies toward equilibrium. Smith also contributes the idea that economic self-interest produces social harmony while passions such as racism and nationalism promote conflict and violence. Smith sees economics as being strongly associated with peace, and politics as associated with war. This separation of politics from economics represents a shift away from the mercantilist idea that economic activity should enhance the national treasury and serve the power interests of the state. For Smith and other liberals, the economic interests of individuals should determine the politics of the state. The "wealth of nations" results from the economic self-interest of individuals.

David Ricardo (1772–1823) builds on the work of Adam Smith and highlights the importance of international trade for states in his classic work, *The Principles of Political Economy and Taxation*. International trade is important to states because domestic economies are constrained by limited resources and conflicting interests while the international economy provides additional avenues for growth and expansion (Crane and Amawi 1997, 57). States benefit from international trade by exporting

products in which they have a comparative advantage. Having a comparative advantage means that one state can produce a good or service at a lower cost than other states can. "The theory of comparative advantage holds that nations should produce and export those goods and services in which they hold a comparative advantage, and import those items that other nations can produce at a lower cost" (Balaam and Veseth 1996, 450). Through comparative advantage, global resources and welfare can be maximized.

The theory of comparative advantage means that states should specialize in providing a good or service to the export market that they can produce at a lower cost than other states. For example, the U.S. produces computer chips efficiently and at a much lower cost than other states. The U.S. also produces potato chips, but not as efficiently as Poland. Poland can produce computer chips, but at a much higher cost. The theory of comparative advantage would prescribe an international division of labor in which the U.S. would export computer chips and Poland would export potato chips. This division is the most efficient way to allocate resources. The principal beneficiaries, of course, would be individual consumers, who would have both computer chips and potato chips for the least possible cost.

Immanuel Kant (1742–1804) incorporates Locke's view of representative government and addresses the issue of individuals that are organized into territories. Kant argues in his classic *Perpetual Peace* that states need to form a federation whereby they can peacefully resolve their disputes. The formation of a world republic is part of the natural evolution of human society. Kant argues that the world republic should be composed of nation-states that are constitutional democracies. Peace and cooperation would be easier to achieve because the decision of whether or not to go to war would lie with the people. Kant's political philosophy is informed by the liberal writing of Smith and Ricardo in that he assumes that the economic self-interest of individuals contributes to peaceful relations among nation-states.

Jeremy Bentham (1748–1832) is commonly associated with a group of thinkers called the utilitarians. The utilitarians see individuals as rational creatures that are capable of engaging in cost-benefit analysis and deciding for themselves what their wants and needs are. Bentham differs from the other liberal writers of this time because he totally rejects the idea of natural law. Recall that Locke, Smith, Ricardo, and Kant appeal to "natural law" to support their theories of rights and government. The idea of natural law is that human beings and human society are governed by knowable laws of nature that need only to be discovered by man. For Bentham, law was manmade and must be judged on the basis of how it affects society. The utilitarian principle is that laws and institutions of a society should produce "the greatest good for the greatest number." Bentham reinforces the liberal ideas of limited, representative government and the market as an institution that generates a great deal of the wealth for a great many people.

Grotius, Locke, Smith, Ricardo, Kant, and Bentham have influenced, both directly and indirectly, the evolution of liberal international relations theory. For all of these thinkers, the relationship of politics and economics is a crucial one. Normatively speaking, economics should determine politics. Economic behavior is seen as the path to social harmony, or at the very least, as promoting cooperation. The state, which is the embodiment of politics, grows out of economic relations and

should not interfere in the market. The market regulates itself and the behavior of the participants within it. Furthermore, the *individual* is of importance (not the state) because it is individuals that comprise the family, the firm, and the state itself. The liberal view shapes the expected behavior and policies of international organizations. In the following section, we'll look at the organizing assumptions of contemporary liberalism as a theoretical approach to international relations.

CONTEMPORARY LIBERALISM

The liberal theoretical approach to international relations is based on four assumptions. The first assumption is that *both state and nonstate actors are important in international relations*. The philosophic tradition of liberalism places a great deal of value on individuals and the social, economic, and political organizations to which they belong. As a result, liberals focus on households, firms, interest groups, governments, and international organizations. Substate actors such as individuals and interest groups can have important effects on international affairs, both directly and indirectly. Bill Gates, chairman of Microsoft, can shape global information networks by determining how and what kind of information is accessed. Interest groups can lobby governments for foreign policies that help them achieve some or all of their goals.

Liberals also see international and transnational actors as shaping the international landscape. International organizations include not only intergovernmental organizations (IGOs) but also nongovernmental organizations (NGOs) that can have both public and private functions. The activities of multinational corporations (MNCs), drug cartels, and terrorist organizations also influence international affairs. Contrary to the realist assumption that the state is the most important actor, liberals see nonstate actors as important because these actors have independent, as well as indirect, influences on the domestic and foreign policies of states.

The second assumption of the liberal theoretical approach holds that the state is not necessarily a unitary and rational actor. Governments are composed of individuals, bureaucratic agencies, and judicial and legislative bodies that can have differing and competing interests. As a result, what may be rational from the standpoint of a unitary state may not be rational from the standpoint of a government official, like the President or the Secretary of State, or of an agency like the Department of Defense. While choices are still made on the basis of self-interest, what is considered *self* is determined by the level of analysis which affects the perception of rationality. This disaggregation of the state expands analyses of governmental decision-making and can explain why governments make the policy choices that they do.

In addition to being disaggregated, the state, as seen by liberals, is a much more fluid entity comprising competing interests that seek either to control the government or lobby the government to achieve their policy objectives. In other words, the state is not autonomous and it can be swayed by internal, as well as external, influences. The government may be controlled by any group (party) or coalition of groups (parties) at any given time. The difference between realists and liberals on this point centers on how to define the national interest. Realists see the national

interest in terms of external considerations and the relative position of the U.S. *vis à vis* other states. Realists have criticized U.S. politics in the 1990s for being dominated by special interests; as a result, the national interest has been compromised with respect to other states. However, liberals argue that the national interest is defined by the equilibrium between all the competing interests within the U.S. For example, according to the environmentalists, clean air is in the national interest. But the automobile industry argues that cars with combustion engines are in the national interest—their production employs people, promotes commerce, and makes it easier for everyone to travel. In liberal theory, these interests compete within the confines of the political process and are reconciled through compromise. The equilibrium of interests *is* the national interest.

The third assumption of liberalism is that the nature of international relations is a composite one—a combination of conflict and cooperation. This assumption stems from the liberal view of human nature as self-interested yet cooperative. Smith and Ricardo thought that self-interested economic behavior in a market led to social harmony. Most contemporary liberals are not this idealistic. However, modern liberals claim that self-interested market behavior creates wealth and leads to increased international transactions. These international transactions afford a situation known as complex interdependence whereby states and other actors within societies are interconnected through trade and finance. Complex interdependence provides incentives to state and nonstate actors to cooperate with each other because they rely on each other mutually. Liberals acknowledge that mutual reliance is by no means symmetrical. Nevertheless, they see complex interdependence as fostering cooperation and reducing the likelihood of violent conflict. Complex interdependence is a defining characteristic of the international system—a characteristic that conditions the behavior of state and nonstate actors.

Many liberals argue that the proliferation of shared norms and values, brought about by the proliferation of representative, democratic governments, has also created a kind of moral interdependence. Societies organized around such democratic principles as individual rights, equality under the law, majority rule, and minority rights are predisposed to the peaceful settlement of disputes, collaboration, and compromise. Simply put, democratic societies identify with each other because of shared norms and values. Even when conflict persists, the conflict is not prone to violence because the decision to go to war does not rest solely in the hands of a single individual or small group. Decision-makers in democratic societies are accountable to their citizens. Hence, democracies rarely make war on each other (Oneal and Russett 1997; Russett 1993; Nincic 1992). Coupled with the economic and political costs of unilateral action, this type of moral interdependence promotes international coordination and cooperation *under existing international laws and organizations*.

The fourth assumption of liberalism is that a variety of issues can come to dominate the international agenda. Unlike realists, who see security and military issues at the top of the agenda, liberals point to the fact that economic, social, and environmental issues are also important to governments and societies. Hence, Iraqi troop movements might be important one week, starving people in Somalia another week, and a financial crisis in Mexico or Thailand in yet another. Issue areas will involve multiple actors, from states to international organizations and

nongovernmental organizations, and each will pursue its own strategies and goals (Keohane and Nye 1977, 37). For liberals, there is no hierarchy of international issues; consequently, international goals and interests are increasingly difficult to define.

LIBERALISM AND THE NATURE OF INTERNATIONAL ORGANIZATIONS

The liberal theoretical approach emphasizes several different kinds of international organizations—the IGO, the NGO, the MNC, and the regime. Hence, several different explanations regarding the origins and the essence of these organizations exist. Functionalism and institutionalism are two prominent liberal explanations regarding IGO and regime creation. Functionalism was once the dominant approach to liberal international organization theory, but its popularity among scholars has waned considerably in the last couple of decades because its predictions have not been borne out. According to Bennett (1991, 15), “The functionalist believes in the efficacy of a gradualist approach to world order with the attainment of political federation by installments.” IGOs are created because of a basic need for them. The increase in transnational ties has led to integration and interdependence, which in turn has led many societies to share common problems. Many of these problems can be managed only through international cooperation, necessitating the creation of specialized international agencies with technical experts (Mitrany 1948, 1966; Haas 1964). IGOs are formed because, in effect, they “demand jurisdiction over preexisting national states” (Haas 1958, 16).

Functionalists recognize that state sovereignty is a well-entrenched principle in international relations. However, they argue that cooperation in narrow, nonpolitical (economic and social) issues areas leads to a “spillover” into larger, more politicized issues areas such as defense or monetary policy. Cooperation in economic and social spheres leads to confidence building, which promotes cooperation in more highly charged issues. IGOs socialize elites into recognizing that it is in their states’ interest to join and participate in international organizations. As cooperative behavior becomes institutionalized, IGOs can evolve into supranational organizations such as the European Union (EU) or the World Trade Organization (WTO). The authority of the nation-state would be displaced incrementally by supranational institutions.

Institutionalism, which represents the most recent research in the liberal tradition on the study of international organization (IGOs and regimes), is a hybrid of realism, game theory, and functionalism. Robert Keohane’s seminal work, *After Hegemony* (1984), examines how IGOs can assist egoistic state actors in overcoming collective action problems and encouraging cooperation under conditions of anarchy. Like realists, liberal institutionalists argue that a hegemonic power is necessary for the creation of IGOs and regimes. Like realists, institutionalists see the state as a unitary, rational actor interacting in a dangerous and uncertain world. Liberal institutionalists have been charged with being “realist by any other name” because of their adoption of realist precepts and assumptions (Mearsheimer 1995).